

LEASE

of Ground Floor, Irwell Bank House.

Dated 16 February 2021.

Hallam & Pryce, managing agents for the Landlord.

Reference HP/RS/0002.

1. Parties.

1.1 This Lease is made on 16 February 2021 between the parties described in this clause.

1.2 The Landlord is Peak District Property Investments LLP, a limited liability partnership registered in England and Wales with number OC371402, whose registered office is at Market Place, Stockport SK1 1EU.

1.3 The Tenant is Eccles Bakery Limited, a company registered in England and Wales with company number 04773519, whose registered office is at The Old Bank, 3 Market Street, Bury BL9 0AJ.

1.4 This Lease is executed as a deed and the parties intend it to take effect as such on the date stated above, whether or not it is dated by hand on that date. The Landlord and the Tenant confirm that they have each taken independent legal advice on the terms of this Lease before executing it.

1.5 Where a party comprises more than one person, the obligations of that party are joint and several obligations of each of those persons. Each party is referred to in this Lease by the description given above, and each such description includes that party's successors in title and assigns and, in the case of an individual, personal representatives.

2. Definitions.

2.1 "Building" means the building described in clause 3 (Demise and Term), including all additions and alterations to it and the land on which it stands.

2.2 "Group Company" means a company which is a member of the same group as the Tenant within the meaning of section 42 of the 1954 Act.

2.3 "Interest" means interest at the rate of four per cent per annum above the base rate from time to time of the Bank of England, calculated on a daily basis from the date on which a sum falls due until the date of payment, both before and after any judgment.

2.4 "Permitted Use" means the use permitted by clause 7 (Use) and no other use.

2.5 "Plan" means the plan annexed to this Lease.

2.6 "Planning Acts" means the Town and Country Planning Act 1990 and every other statute for the time being in force relating to town and country planning.

2.7 "Premises" means the premises described in clause 3 (Demise and Term), including the Landlord's fixtures and fittings in them and all additions and improvements made to them.

2.8 "Rent" means the Initial Rent as reviewed in accordance with clause 5 (Rent Review).

2.9 "Review Date" means the date specified as such in clause 5 (Rent Review).

2.10 "Term" means the term of years granted by clause 3 (Demise and Term), together with any continuation of that term by statute or at common law.

2.11 "Term Commencement Date" means the date on which the Term commences under clause 3 (Demise and Term).

2.12 "Use Classes Order" means the Town and Country Planning (Use Classes) Order 1987 as it applies at the date of this Lease.

2.13 "VAT" means value added tax chargeable under the Value Added Tax Act 1994 and any similar or replacement tax.

2.14 Any reference to the Landlord includes the person for the time being entitled to the reversion immediately expectant on the end of the Term.

2.15 Where the consent or approval of the Landlord is required under this Lease, it must be obtained in writing before the act concerned is carried out.

2.16 Any reference to a statute includes any subordinate legislation made under it and any statutory modification or re-enactment of it for the time being in force.

2.17 The clause headings do not affect the interpretation of this Lease. References to the end of the Term include its determination by forfeiture, surrender, the exercise of any break right or otherwise.

2.18 Words importing one gender include every gender, and words importing the singular include the plural and vice versa.

3. Demise and Term.

3.1 The Landlord lets the Premises to the Tenant with full title guarantee, together with the rights set out in Schedule 1, excepting and reserving to the Landlord the rights set out in Schedule 2, and subject to the Encumbrances. The Term Commencement Date shall be the date from which the Term is calculated for every purpose of this Lease, whether or not the Tenant has taken occupation by that date.

3.2 The Building is Irwell Bank House, Chapel Wharf, Salford M3 5JZ.

3.3 The parties agree that sections 24 to 28 of the 1954 Act shall not apply to the tenancy created by this Lease, the Landlord having served notice on the Tenant and the Tenant having made a statutory declaration before the parties became contractually bound. The Tenant shall permit the Landlord and the Landlord's Surveyor to enter the Premises on reasonable notice to inspect their condition, to take measurements, and to carry out any works which the Landlord is entitled to carry out under this Lease.

3.4 If any part of the Premises is destroyed or damaged so as to be unfit for occupation and use, the Rent shall be suspended in accordance with clause 9 (Insurance) until the Premises have been reinstated. The Tenant is granted the right, in common with the Landlord and all others authorised by the Landlord, to use the Common Parts for the purposes of access to and egress from the Premises.

3.5 The Tenant acknowledges that the Premises are let in their present condition and that the Landlord has made no representation as to their fitness for the Permitted Use. The Landlord confirms that it has the power to grant this Lease and that the Premises are not subject to any restriction which would prevent their use for the Permitted Use.

3.6 The Premises are known as Ground Floor, Irwell Bank House and are shown edged red on the Plan.

3.7 Nothing in this Lease shall operate to grant the Tenant any rights over the airspace above the Building or the ground beneath its foundations. The Landlord reserves the right to alter the Common Parts, to erect or alter buildings on adjoining land, and to grant rights over the Building to third parties, provided that the Tenant's use of the Premises is not materially prejudiced.

3.8 The Premises are let for a term of 10 years (the Term).

3.9 The demise excludes the roof, the foundations, the structural walls and the Conduits of the Building which serve other premises, but includes the internal non-structural walls, the floor finishes, the ceilings and the internal surfaces of the structural walls. The Tenant shall not be entitled to any rights of light or air or other easements over any adjoining property of the Landlord except those expressly granted by this Lease.

3.10 The Tenant shall not obstruct the Common Parts, nor leave any goods, vehicles or refuse in them, nor use them for any purpose other than access.

3.11 The Term shall commence on 1 March 2021 and shall expire on 28 February 2031.

4. Rent.

4.1 If any Rent or other sum is not paid within fourteen days after the date on which it falls due, the Tenant shall pay Interest on it from the due date until the date of actual payment. The Tenant shall pay the Rent by banker's standing order or by such other method as the Landlord may reasonably require from time to time.

4.2 The Rent and all other sums payable under this Lease shall be paid without any deduction, counterclaim or set-off, whether legal or equitable, save as required by law.

4.3 The Tenant shall pay the Rent by equal quarterly payments in advance on the Quarter Days, the first payment being a proportionate sum for the period from the date on which the Rent first becomes payable to the next Quarter Day. All sums payable by the Tenant under this Lease are exclusive of VAT, which the Tenant shall pay in addition where it is chargeable, against receipt of a valid VAT invoice.

4.4 The Tenant shall pay for all Utilities consumed at the Premises, including any standing charges, meter rents and connection charges, and shall comply with the requirements of the supplying authorities. The Tenant shall also pay to the Landlord as rent the Service Charge, the Insurance Rent and any VAT chargeable on them, on the dates and in the manner set out in this Lease.

4.5 The Initial Rent is £79,750 (seventy-nine thousand seven hundred and fifty pounds) per annum.

4.6 The Tenant shall pay all rates, taxes, assessments and outgoings of every kind which are charged or assessed on the Premises or on the owner or occupier of them, other than any tax payable by the Landlord on the receipt of the Rent or on any dealing with the reversion. The Landlord may, at its discretion and on giving not less than one month's notice to the Tenant, vary the dates on which the Rent is payable, provided that the Rent remains payable in advance.

4.7 The Landlord shall provide the Tenant with a written demand for each payment of Rent not less than fourteen days before the date on which it falls due, but a failure to do so shall not relieve the Tenant of the obligation to pay on that date.

4.8 The Rent Commencement Date is 1 June 2021.

4.9 Any sum which is payable by the Tenant to the Landlord under this Lease and which is not otherwise expressed to be rent shall nevertheless be recoverable by the Landlord as rent in arrear. Where any Utility is supplied to the Premises through a meter serving other premises as well, the Tenant shall pay a fair proportion of the cost as determined by the Landlord's Surveyor.

4.10 The Tenant shall pay the Landlord's proper and reasonable costs of preparing and serving any schedule of dilapidations at any time during or within three months after the end of the Term.

4.11 For the avoidance of doubt, the rent reserved by the previous lease of the Premises, being £72,500 per annum, is superseded by this Lease.

5. Rent Review.

5.1 On the Review Date the Rent shall be reviewed to the greater of the Rent payable immediately before the Review Date and the open market rent of the Premises.

5.2 Any dispute about the reviewed Rent shall be referred to an independent surveyor, to be agreed between the parties or, failing agreement, to be appointed on the application of either party by the President of the Royal Institution of Chartered Surveyors. Time shall not be of the essence for any of the steps in the review procedure, and neither party shall be prejudiced by any delay in initiating or pursuing the review. The open market rent is the best annual rent at which the Premises might reasonably be expected to be let in the open market on the Review Date, with vacant possession, by a willing landlord to a willing tenant, for a term equal to the unexpired residue of the Term, on the terms of this Lease other than the amount of the Rent.

5.3 The review shall assume that the Premises are in good repair and condition, that the Tenant has complied with its obligations, and that the Premises may lawfully be used for the Permitted Use. A memorandum recording the reviewed Rent shall be signed by or on behalf of the Landlord and the Tenant and annexed to this Lease and its counterpart, each party bearing its own costs.

5.4 The review shall disregard any effect on rent of the Tenant's occupation, any goodwill attached to the Premises by reason of the Tenant's business, and any improvements carried out by the Tenant with the Landlord's consent otherwise than in pursuance of an obligation under this Lease. The costs of the independent surveyor shall be borne as the surveyor directs or, in the absence of a direction, equally between the parties.

5.5 The Rent shall be reviewed on the Review Date in accordance with this clause, and from the Review Date the Rent shall be the amount determined under this clause.

5.6 If the reviewed Rent has not been agreed or determined by the Review Date, the Tenant shall continue to pay Rent at the rate payable immediately before the Review Date, and within fourteen days after the reviewed Rent is agreed or determined the Tenant shall pay the shortfall together with

interest at the base rate from time to time of the Bank of England. The Rent shall not be reduced on review, and if the reviewed Rent would be less than the Rent payable immediately before the Review Date the Rent shall remain unchanged.

5.7 The Review Basis is open market.

5.8 The Review Date is 1 March 2026.

5.9 The independent surveyor shall act as an expert and not as an arbitrator, shall give both parties the opportunity to make written representations, and shall give reasons for the determination.

6. Repair.

6.1 The Landlord shall keep the structure, the roof, the foundations and the exterior of the Building, and the Common Parts and the Conduits which do not exclusively serve the Premises, in good repair and condition, and shall recover the cost through the Service Charge. The Tenant shall keep the Premises clean and tidy and shall decorate the interior of the Premises in every fifth year of the Term and in the last three months of the Term, in a good and workmanlike manner and with materials of good quality.

6.2 The repairing basis of this Lease is internal repairing.

6.3 The Tenant shall at the end of the Term yield up the Premises in the state of repair and condition required by this Lease, having removed any alterations which the Landlord requires to be removed and made good any damage caused by their removal. The Tenant shall, on being given notice by the Landlord of any breach of the Tenant's repairing obligations, remedy the breach within two months or sooner if necessary, and if the Tenant fails to do so the Landlord may enter the Premises and carry out the work and recover the cost from the Tenant as a debt. The Tenant shall keep the interior of the Premises, including the internal surfaces of the structural walls, the ceilings, the floor finishes, the doors and windows and the fixtures and fittings, in good repair and condition.

6.4 The Tenant shall keep the Premises free from vermin and infestation and shall pay the cost of any treatment which the Landlord reasonably requires. The Landlord shall not be liable to the Tenant for any failure or interruption of any of the services provided to the Building which is caused by circumstances beyond the Landlord's reasonable control, provided that the Landlord uses reasonable endeavours to restore the service.

6.5 The Tenant shall keep any plate glass in the Premises insured against breakage in the joint names of the Landlord and the Tenant and shall replace any broken glass with glass of the same quality as soon as reasonably practicable. The Tenant shall comply with all statutes, regulations and requirements of any competent authority relating to the Premises or their use, and shall indemnify the Landlord against all liability arising from any breach.

6.6 Any damage to the Premises caused by an Insured Risk shall be excluded from the Tenant's repairing obligations unless the insurance has been vitiated by the act or default of the Tenant. The Tenant shall not do anything which would overload the floors, the structure or the Conduits of the Building, and shall not bring onto the Premises any machinery or equipment which is unduly heavy or which causes vibration. The Tenant shall not make any structural alteration or addition to the

Premises, nor any alteration to the exterior or the appearance of the Premises, nor any internal non-structural alteration without the prior written consent of the Landlord, which shall not be unreasonably withheld.

7. Use.

7.1 The Tenant shall not apply for planning permission for any change of use of the Premises without the prior written consent of the Landlord.

7.2 The Tenant shall keep the Premises open for business during the usual business hours of the locality unless prevented by circumstances beyond the Tenant's control.

7.3 The Tenant shall not load or unload goods except at the loading areas designated by the Landlord and shall not park vehicles other than in the spaces, if any, allocated to the Premises. The Tenant shall not play or permit to be played any music or sound amplification which is audible outside the Premises.

7.4 The Tenant shall not permit any person to sleep on the Premises, nor allow the Premises to be used for residential purposes. Nothing in this Lease constitutes a warranty by the Landlord that the Premises may lawfully be used for the Permitted Use, and the Tenant has satisfied itself on that point before entering into this Lease.

7.5 The Tenant shall not use the Premises for any illegal or immoral purpose, nor for any auction, public meeting or show, nor for any purpose which is noisy, offensive or dangerous or which causes a nuisance to the Landlord or to the tenants or occupiers of adjoining premises. The Tenant shall not display any sign, advertisement or notice on the exterior of the Premises or in the windows so as to be visible from outside without the prior written consent of the Landlord, which shall not be unreasonably withheld in the case of a sign displaying the Tenant's name and business.

7.6 The Tenant shall not store on the Premises any hazardous, flammable or explosive substance, other than reasonable quantities of cleaning materials and fuel for permitted equipment stored in accordance with the relevant regulations. The Tenant shall comply with all reasonable regulations made by the Landlord from time to time for the management of the Building and the Common Parts, provided that they have been notified to the Tenant in writing. The Tenant shall not use the Premises for any purpose other than the Permitted Use.

7.7 The Permitted Use is the retail sale of goods within Class E(a) of the Use Classes Order.

8. Alienation.

8.1 The Tenant shall not underlet any part of the Premises, nor grant any right of occupation of part of the Premises to any person. The Landlord may withhold consent to an assignment if the proposed assignee is not, in the Landlord's reasonable opinion, of sufficient financial standing to comply with the Tenant's covenants, or if there are arrears of Rent or any other subsisting breach of the Tenant's obligations. The Tenant shall not charge any part of the Premises, but may charge the whole of the Premises with the prior written consent of the Landlord, which shall not be unreasonably withheld.

8.2 For the purposes of section 19(1A) of the Landlord and Tenant (Covenants) Act 1995, the parties agree that the conditions and circumstances set out in this clause are reasonable. The Landlord shall be entitled to require, as a condition of giving consent to an assignment, that the assignee provides a guarantor or a rent deposit acceptable to the Landlord where the assignee's financial standing reasonably requires it.

8.3 It shall be a condition of any assignment that the Tenant enters into an authorised guarantee agreement in the form reasonably required by the Landlord, guaranteeing the performance of the Tenant's covenants by the assignee. The Tenant may assign the whole of the Premises with the prior written consent of the Landlord, which shall not be unreasonably withheld or delayed. The Tenant shall not assign, underlet, charge, part with possession or share occupation of the whole or any part of the Premises except as expressly permitted by this clause.

8.4 Within one month after any assignment, underletting, charge or devolution of the Premises, the Tenant shall give the Landlord notice of it together with a certified copy of the relevant document and shall pay the Landlord's reasonable registration fee.

9. Insurance.

9.1 The Tenant shall insure its own fixtures, fittings, stock and contents and shall maintain public liability insurance in respect of the Premises with a limit of indemnity of not less than five million pounds for any one occurrence. If the Premises have not been reinstated so as to be fit for occupation and use within three years after the date of the damage, either party may end this Lease by giving the other not less than one month's written notice, and the insurance money shall belong to the Landlord.

9.2 The Tenant shall not do anything at the Premises which would make the insurance of the Building void or voidable or which would increase the premium, and shall pay any increased premium caused by the Tenant's use of the Premises. If the insurance money is irrecoverable in whole or in part because of any act or default of the Tenant, the Tenant shall pay the Landlord the irrecoverable amount on demand.

9.3 If the Premises or the Building are damaged or destroyed by an Insured Risk so as to be unfit for occupation and use, the Rent, or a fair proportion of it according to the extent of the damage, shall be suspended until the Premises are again fit for occupation and use or until the expiry of the period for which loss of Rent is insured, whichever is the earlier. The Landlord shall insure the Building, other than tenant's fixtures and fittings, against the Insured Risks in the full cost of reinstatement, with a reputable insurer and subject to such excesses, exclusions and conditions as the insurer may require.

9.4 The Tenant shall pay the Insurance Rent within fourteen days of demand, the first payment being a proportionate sum for the period from the Term Commencement Date to the next renewal date of the policy.

9.5 The Tenant shall comply with all requirements and recommendations of the insurer and shall notify the Landlord as soon as it becomes aware of any damage to the Premises by an Insured Risk.

9.6 The Landlord shall use the insurance money received, other than in respect of loss of Rent, to reinstate the Premises as soon as reasonably practicable, subject to obtaining all necessary consents and to the Landlord not being prevented by any cause beyond its control. The Landlord shall, on request and not more than once in any year, produce to the Tenant evidence of the terms of the insurance policy and of payment of the current premium.

10. Deposit.

10.1 If the Landlord assigns its interest in the Premises, it shall transfer the Deposit to the assignee and shall procure that the assignee holds it on the terms of this clause, whereupon the Landlord shall be released from its obligations in respect of the Deposit. Within fourteen days after receiving a notice of withdrawal, the Tenant shall pay to the Landlord a sum sufficient to restore the Deposit to its original amount.

10.2 The Landlord shall release the balance of the Deposit to the Tenant within one month after the end of the Term, or after any earlier lawful assignment of this Lease, provided that the Tenant has complied with its obligations and there are no outstanding claims by the Landlord. If the Tenant fails to pay any Rent or other sum within fourteen days after it falls due, or is otherwise in breach of this Lease, the Landlord may withdraw from the Deposit such amount as is required to make good the default and shall give the Tenant written notice of the withdrawal. The Deposit shall not be treated as a payment of Rent in advance, and the Tenant shall not withhold any payment of Rent on the ground that the Landlord holds the Deposit.

10.3 The Landlord's rights under this clause are in addition to and not in substitution for any other right or remedy available to the Landlord. The Landlord shall hold the Deposit in a separate interest-bearing account as security for the performance of the Tenant's obligations under this Lease, and any interest earned shall be added to the Deposit.

10.4 The Deposit is £19,900 (nineteen thousand nine hundred pounds), which the Tenant shall pay to the Landlord on the date of this Lease.

11. VAT.

11.1 If the Tenant is not registered for VAT or is unable to recover VAT in full, that shall not relieve the Tenant of the obligation to pay VAT in accordance with this clause. Nothing in this Lease shall prevent the Landlord from making, revoking or varying an election to waive the exemption from VAT in respect of the Building, and the Landlord shall notify the Tenant in writing within one month of doing so.

11.2 Where the Landlord has waived the exemption from VAT, the Tenant shall not do anything which would cause the waiver to be disapplied, and shall indemnify the Landlord against any loss arising from a breach of this obligation. The Landlord shall provide the Tenant with a valid VAT invoice for every payment of Rent and other sums on which VAT is chargeable.

11.3 Every sum payable under this Lease is expressed exclusive of VAT, and any reference in this Lease to a sum, a cost or an expense includes any VAT which is payable on it and which is not recoverable by the payer.

11.4 The Landlord has elected to waive the exemption from VAT in respect of the Building.

12. Notices.

12.1 A person who is not a party to this Lease has no right under the Contracts (Rights of Third Parties) Act 1999 to enforce any of its terms. The Landlord shall be entitled to re-enter the Premises and end this Lease if the Rent or any other sum is unpaid for twenty-one days after falling due, whether formally demanded or not, or if the Tenant is in breach of any of its obligations, or if the Tenant becomes insolvent. Notice may not be validly served by email or by any other electronic means unless the parties have agreed in writing to accept service in that manner.

12.2 Any notice under this Lease shall be in writing and shall be served by hand or by recorded delivery post at the registered office of the party to be served, or at such other address as that party may have notified in writing for the purpose. This Lease, together with any documents annexed to it, contains the whole agreement between the parties relating to the Premises and supersedes any earlier agreement, arrangement or understanding between them. Nothing in this Lease shall give the Tenant any right to renew it, and the Tenant acknowledges that it has taken independent legal advice on the effect of the exclusion of the security of tenure provisions of the 1954 Act.

12.3 The Tenant shall give the Landlord written notice of any change to the Tenant's registered office or principal place of business within fourteen days of the change. This Lease is governed by the law of England and Wales, and the courts of England and Wales have exclusive jurisdiction to determine any dispute arising out of it.

12.4 The Landlord's managing agent is Hallam & Pryce of 8 Booth Street, Manchester M2 4AW, to whom rent demands and notices on behalf of the Landlord may be addressed.

Schedule 1. Rights Granted.

1. The right to display the Tenant's name on the directory board in the entrance hall of the Building in the style approved by the Landlord.
2. The right to use the refuse storage area designated by the Landlord for the storage of refuse pending collection.
3. The right, on reasonable notice and subject to making good all damage, to enter the Common Parts to carry out any works which the Tenant is obliged or permitted to carry out under this Lease.
4. The right of support and protection for the Premises from the other parts of the Building.
5. The right to use the Conduits serving the Premises for the passage of Utilities, subject to the Landlord's right to re-route them on giving reasonable notice.
6. The right to use the car parking spaces, if any, allocated to the Premises by the Landlord from time to time, for the parking of private motor vehicles only.

Schedule 2. Rights Reserved.

1. The right to enter the Premises on reasonable notice, or without notice in an emergency, to inspect, repair, clean, alter or renew any adjoining premises or the Conduits.
2. The right to erect scaffolding on or against the Building for the purpose of repairing or cleaning it, provided that access to the Premises is maintained.
3. The right to fix and maintain on the exterior of the Premises any sign, aerial, satellite dish or plant serving the Building, provided that it does not materially interfere with the Tenant's use of the Premises.
4. The right of support and protection for the other parts of the Building from the Premises.
5. The right, during the last six months of the Term, to enter the Premises with prospective tenants and to display a notice advertising the Premises for letting.
6. The right to use the Conduits in the Premises for the passage of Utilities to and from other parts of the Building.
7. The right to build on, alter or develop any adjoining property of the Landlord in any manner, even if the access of light or air to the Premises is reduced, provided that the Tenant's use of the Premises is not materially interfered with.

Schedule 3. Services.

1. Employing staff, contractors and managing agents for the provision of the services and the management of the Building, and paying the fees of the Landlord's Surveyor and accountants in connection with the Service Charge.
2. Any other service which the Landlord reasonably considers to be for the benefit of the tenants and occupiers of the Building generally.
3. Repairing, maintaining, cleaning, lighting and, where appropriate, heating the Common Parts and the structure and exterior of the Building.
4. Providing, maintaining and renewing lifts, fire alarms, security systems and other plant serving the Building.
5. Providing refuse collection, pest control, window cleaning and landscaping services to the Building and its grounds.
6. Insuring the Building and the plant in it against the Insured Risks and against third party liability, so far as not recovered through the Insurance Rent.
7. Complying with any statutory requirement relating to the Building or the Common Parts and with the requirements of the insurers.